Union Budget 2022

Event Update

Beauty is in simplicity

DALAL & BROACHA STOCK BROKING PVT. LTD.

Equity Research Desk

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India, which is likely to reclaim the world's fastest-growing major economy title, has prioritized growth over fiscal consolidation in its Budget 2022-23. The budget strengthens the **"Atma-Nirbhar"** Bharat vision with an overall budget CAPEX increase by 35% sending a clear message that infrastructure remains key agenda. The Budget has little to no changes that were brought into effect in terms of personal income tax. It is more to do with higher thrust on capital investment, putting more money in the pockets of farmers and continued focus on infrastructure development, from highways to affordable housing segments.

To meet its expenditure requirement, the government will borrow Rs 11.6 trillion in FY23, which is Rs 2 trillion higher than the amount of Rs 9.7 trillion budgeted for the current fiscal. Budget 2022-23 is more towards "Invest in India", stimulating GDP growth, broad-based development themes across logistics, infrastructure, Fintech and agriculture. Moreover, the creation of infrastructure through PPP can be seen from Gati Shakti implementation. The additional Rs 1 trillion interest free support to the states for implementation of Gati Shakti and rural roads will lead to acceleration of local economy and is the right step towards Rs 5 trillion economy.

A much-needed booster shot for EV Start-ups was laid-out through battery swapping policy which would promote the use of EVs in the country.

Introduction of the Digital Rupee by FY 2022-23 is a strong initiative that will continue to spur the growth of the digital economy and enable an efficient settlement process with potentially lower transaction costs.

Fiscal Deficit pegged @ 6.4% of GDP

In order to sustain and support the economic recovery, Finance Minister in the current budget has decided to peg the fiscal deficit at 6.4%, providing the large bump in capex, which is up by 35% for FY23. The higher capex spending on highways to affordable housing will fire up the key engines of the economy. Considering subdued private sector investments, the government hopes that the continuing focus on ramping up public spending will revive domestic demand.

Furthermore, the target of 6.4% is consistent with the broad path of fiscal consolidation announced last year, to reach a fiscal deficit of 4.5% by FY26. The states will be allowed a fiscal deficit of 4% of GSDP. With capital expenditure taken together with provision made for creation of capital assets through grants-in-aid to states, 'Effective Capital Expenditure' of the Central Government is estimated at Rs. 10.68 trillion in FY23, which will be 4.1% of GDP.

Fiscal deficit declined by 35% YoY at Rs 6.96 trillion in April-Nov 2021, accounting for 46.2% of the Budget estimate for FY21, as tax collections remained robust and spending muted.

The revenue receipts of the central government during April- November 2021 have gone up by 67.2% (YoY), as against an estimated growth of 9.6% in the FY22 Budget Estimates.

The cut in excise duty on petrol and diesel, announced in end of 2021, did not seem to have meaningful impact on Centre's excise duty collections (at Rs 378.67 Bn vs Rs 323.79 Bn in Oct 2021.

With budgeted disinvestment targets rarely met, the government has moderated disinvestment receipts at Rs 650 Bn in FY23, lower than this year's (FY22) estimated mobilization of Rs 780 Bn. Furthermore, the government has drastically reduced the receipts to an achievable Rs 780 Bn in FY22, from Rs 1.75 trillion budgeted earlier. So far, the government has gathered Rs 120.30 Bn from PSU disinvestment and strategic sale. This includes Rs 27.00 Bn from Air India privatization and another Rs 93.30 Bn through minority stake sale in various CPSEs. With target of Rs 780 Bn, the Centre is expecting a minimum of Rs 660 Bn from the LIC IPO.

Exhibit 1:

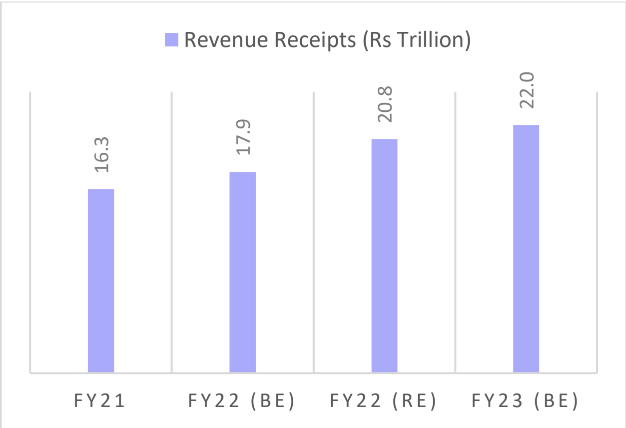
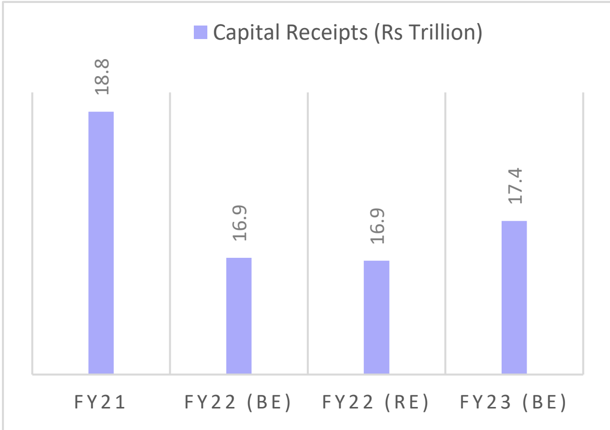


Exhibit 2:



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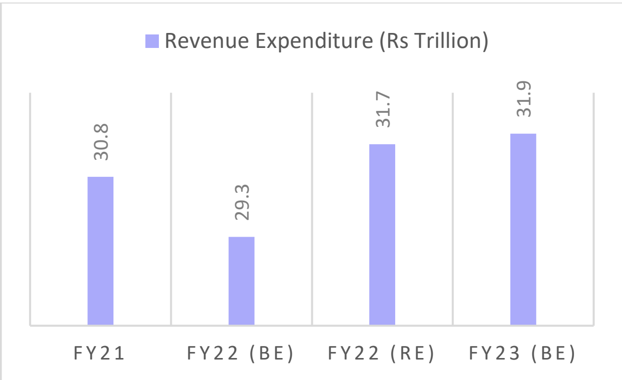

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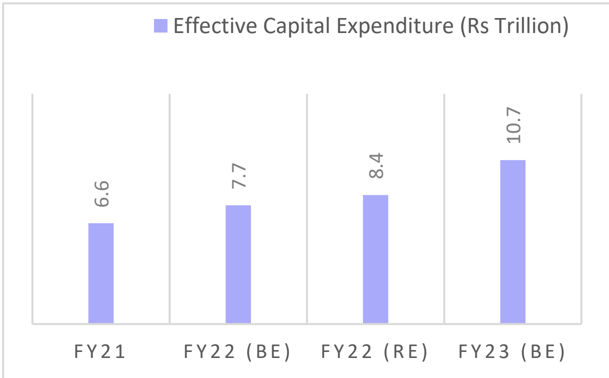

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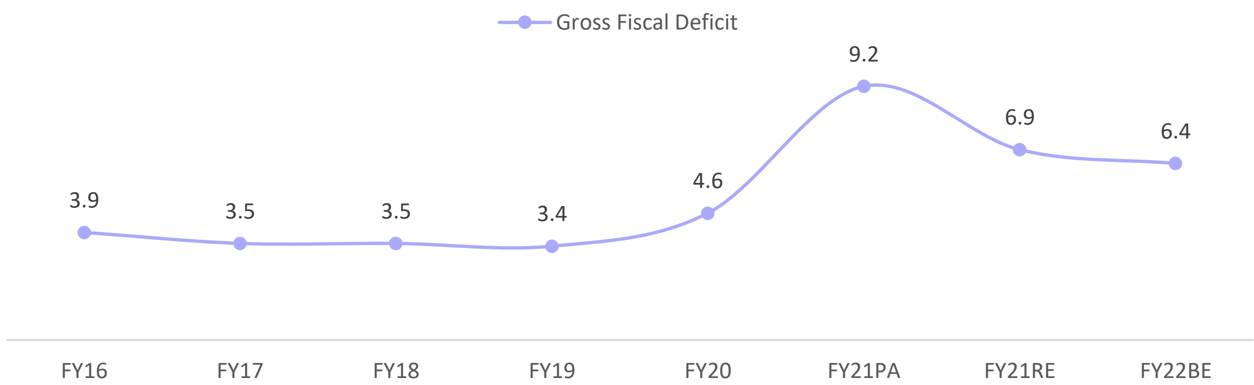

Source: Dalal & Broacha Research, Company

SECTORAL HIGHLIGHTS

CHEMICALS

- Customs duty on certain critical chemicals namely methanol, acetic acid and heavy feed stocks for petroleum refining are being reduced, while duty is being raised on sodium cyanide.

Positive: Balaji Amines , Alkyl Amines (Methanol is a raw material)
Negative: GNFC (Acetic Acid & methanol producer)

AGRICULTURE

- Implementation of the Ken-Betwa Link Project, at an estimated cost of Rs.44,605 crore will be taken up. This is aimed at providing irrigation benefits to 9.08 lakh hectare of farmers' lands, drinking water supply for 62 lakh people, 103 MW of Hydro, and 27 MW of solar power. Allocations of Rs.4,300 crore in RE 2021-22 and Rs.1,400 crore in 2022-23 have been made for this project.
- Rs. 60,000 crore allocated to cover 3.8 crore households in 2022-23 under Har Ghar, Nal se Jal.

Positive :
Astral Poly Finolex Industries
Prince Pipes
Supreme Industries

INFRASTRUCTURE

- Plans for investments in remote roads, mass transit in cities and 400 new "Vande Bharat" trains in three years.
- Data Centres and Energy Storage Sy stems including dense charging infrastructure and grid-scale battery systems will be included in the harmonized list of infrastructure. This will facilitate ease in fund/credit availability for digital infrastructure and clean energy storage.

Positive :
L&T,GMR Infra, KNR Construction, IRB Infra, IRCTC

Positive :
Bharti Airtel, HCL Tech, Tata communications, Railtel
(Key beneficiary for Data Centre)
Honeywell, ABB India, Hitachi (Power & Data storage)

LOGISTICS

- Gati Shakti Master Plan: Rs 20000 crs to be spent on developing 25000 kms of national highways
- Unified Logistics Interface Platform allowing data exchange among all mode operators will improve multi-modal transport
- 100 New Cargo Terminals To Be Developed In Next 3 Years
- 4 Multimodal Logistics parks through PPP to be awarded in 2022-23
- 2,000 km of railway network will be brought under Kavach, the indigenous world-class technology for safety and capacity augmentation in 2022-23
- Integration of Postal and Railways Network facilitating parcel movement.
- 400 new generation Vande Bharat Trains

View:

The above is beneficial to TCI Express, Mahindra Logistics Allcargo and Container Corporation. Along with logistics, the construction of trains and cargo terminals will be beneficial to Titagarh Wagons, Texmaco Rail, etc

The road connectivity plan is a long term ambition which is much needed for many industries like logistics, tourism, etc to grow. In the previous budget, government laid out a plan for 19,000 kms which is similar to the current plan. The road connectivity plan is one of the seven engines in PM GatiShakti, we believe the connectivity program will keep continuing for years to come. This is positive for infra and construction stocks like L&T, IRB Infra, Sadbhav Engineering, etc

AUTO AND AUTO ANCILLARIES

- The government has proposed the battery swapping policy which will create interoperability standards for batteries which is a much required step. It will create new avenues for companies to venture into the business of battery swapping. Key Beneficiary: Exide Industries, Amara raja , Hero MotoCorp
- The creation of a strong charging infrastructure alongside the highways across the country would promote the use of EVs for interstate travel. Key beneficiary: Tata power
- To promote clean tech in public transport, will also focus on electric vehicles and zero-fossil fuel. Positive step for electric bus makers.

Positive :
Key beneficiaries: Olectra Greentech, Tata motors, Ashok Leyland.

DEFENSE

- 68% of total defense budget allocated for domestic industry in 2022-23, up from 58% in 2021-22.

View:

Spends in defence segment will always be on the high as this is one of the most integral part of the economy. This will be directly beneficial to BEL, BEML, Paras Defence, MTAR, Bharat Forge and Centrum Electronics while indirect benefit to DATA Patterns, Astra Microwave.

AGRI COMMODITIES

- Unblended fuel to attract an additional differential excise duty of Rs 2/ litre from the 1st of October 2022 to encourage blending of fuel.

View:

This move will fastrack the vision of ethanol-petrol blending of 20%. If such blending is not achieved then the unblended petrol and diesel will get expensive from 1st October,2022.

Key beneficiaries: Praj Industries, sugar companies

Virtual Digital Assets:

- Transfer of virtual digital assets such as cryptocurrency and NFT will be taxed at 30% and no deduction will be available against such income. In addition 1% TDS will be charged on payments made using digital assets in order to keep a track on transactions.

View:

This move will bring digital assets in the regulatory boundaries of the government which is a welcome change.

Project imports and capital goods

- Gradually phasing out of the concessional rates in capital goods and project imports; and applying a moderate tariff of **7.5 percent (or lesser)** – conducive to the growth of domestic sector and 'Make in India'.
- Certain exemptions for advanced machineries that are not manufactured within the country shall continue.
- Exemptions introduced on inputs like specialised castings, coffee roasting machineries, ball screw and linear motion guide - to encourage domestic manufacturing of capital goods.

View:

The move is in direction to promote Make in India. Domestic companies will benefit as industries will rely lesser on imports. Products with reduced custom duty are from Agriculture, Fuels, Plastics, Gems & Jewellery, Electronics and Capital Goods while products with increased custom duty are from medical devices, Toys, papers and chemicals.

Financials

ECLGS Expanded

- 130 lakh MSMEs provided additional credit under Emergency Credit Linked Guarantee Scheme (ECLGS) and is extended up to March 2023. The guarantee cover under ECLGS will be expanded by Rs 50000 Crore to total cover of Rs 5 Lakh Crore. ECLGS has played a major role to provide relief to micro, small and mid-sized firms hit badly by the pandemic.

View:

ECLGS scheme will benefit the stressed sectors and also Banks/NBC's who can grow their book at a much faster rate without worrying a lot about asset quality stress as the loans are guaranteed by the Government.

Stocks that Can Benefit: **Companies in the sectors identified by Kamath Committee like hospitality, aviation, healthcare etc. Banks and NBFC's that have a substantial exposure and also lend heavily to MSME'S . Banks like CUB, AU Small Finance Bank and NBFC's like IIFL Finance Ltd and Paisalo Digital Ltd.**

CGTMSE for MSE revamped

- Additional Rs 2 lakh crore worth of credit will be covered under Credit Guarantee Scheme for Subordinate Debt. In current financial year over 5.5 lakh CGTMSE guarantees were approved amounting to Rs 42,429.23 crore, of which 22,863 claims involving Rs 471.39 crore were disbursed.

View

CGTMSE is an excellent scheme where lenders pay a premium that covers a portion of the credit, they lend to MSE's. By increasing the quantum of CGTMSE lenders will be aggressive in giving unsecure credit, which will be a big boost to MSE's which have been worst affected by Covid.

Stocks that Can Benefit: **Banks and NBFC's that have a substantial exposure and also lend heavily to MSE'S . Banks like Bandhan Bank, CUB, AU Small Finance Bank and NBFC's like IIFL Finance Ltd and Paisalo Digital Ltd.**

RAMP program launched

- For MSMEs to become more efficient, the Racing & Accelerating MSME Performance (RAMP) program with the outlay of Rs 6000 crore over 5 years will be rolled out. FM said that the programme would improve the competitiveness and productivity of MSMEs.

View

Step in the right direction, but need to see the effectiveness of implementation and whether Rs 6,000 crore will be sufficient.

Additional capital allocation for PM Awas Yojana

- Additional Rs. 48,000 crores has been allocated for completion of 80 lakh houses in 2022-23 under PM Awas Yojana. According to data till January 3, 2022, around 114.02 lakh houses have been sanctioned across states so far under the Pradhan Mantri Awas Yojana.

View

PMAY has been the flagship scheme of Modi Government. Aspiration to buy a first home for many middle- and lower-income groups can spur the economy in multiple ways

Stocks that Can Benefit: **Biggest beneficiaries will be housing finance companies that lend for affordable housing like Homefirst Ltd, Aptus Value Housing, AAVAS Financiers also NBFC like IIFL Finance Ltd which under their subsidiary IIFL Home Finance Ltd focuses on giving credit to first time home buyers who will benefit from PMAY.**

Partnership with NABARD for agriculture

- NABARD to facilitate fund with blended capital to finance start-ups for agriculture & rural enterprise.

View

We believe this will be a partnership between NABARD and NBFC'S as well as NBFC-MFI'S for funding agriculture and rural enterprise. Microfinance companies can get capital at a lower cost from NABARD and can grow their book at an incremental pace.

Stocks that Can Benefit: Although the fine print regarding the amount that will be given to NABARD and the partnership structure is not known, microfinance companies like Credit Access Grameen Ltd and IIFL Finance subsidiary Samasta Microfinance can be beneficiaries.

Amendment in the IBC

- For faster resolution of bankrupt companies FM has proposed amendments to enhance the resolution process's efficiency and cross-border insolvency resolution.

View

In an economically interdependent world, the importance of developing and maintaining a robust cross-border legal framework for the facilitation of international trade and investment is extremely important. Will help in banks recovering money faster especially from wilful defaulters.

Stocks that can Benefit: We have to wait and see the amendments and the timeline by which they will be implemented, but beneficiaries will be PSU Banks that have comparatively higher asset quality issues.

RBI To Introduce Digital Rupee

- FM announced that RBI will come up with digital money using block chain technology.

View

Central Bank Digital Currency will be a boost for digital economy and will also enhance security.

Stocks that can Benefit: No stock in particular benefits, IT companies that can work on blockchain technology will benefit in future.

TELECOM

- **Spectrum Auction for 5G to be conducted in FY22 and rollout of 5G services by 2022-23**

  View: Spectrum Auction in FY22 for rollout in FY23 would translate into some short term pain due to huge cash outflows for telecom companies. However, long term benefits of 5G tech spills beyond telecom into Manufacturing, Agriculture, Healthcare, Transport, Education. We are positive on Reliance Industries and Bharti Airtel.

- **A scheme for design-led manufacturing will be launched to build a strong ecosystem for 5G as part of the Production Linked Incentive Scheme**
- **To enable affordable broadband and mobile service proliferation in rural and remote areas, 5% of annual collections under the Universal Service Obligation Fund will be allocated. This will promote R&D and commercialization of technologies and solutions**

View: This is positive for Telecom Cable and Equipment companoies as Government sets up support infrastructure to improve penetration of internet in rural areas. Positive on Sterlite Technologies, HFCL, Tejas Networks, D-link, ITI Ltd., Vindhya Telelinks, Cyient, Tata Elxsi and LTTS

TECHNOLOGY

- Blended funds to be promoted for sunrise sectors such as Artificial Intelligence, Geospatial Systems and Drones, Semiconductor and its eco-system, Space Economy, Genomics and Pharmaceuticals, Green Energy, and Clean Mobility Systems
- Our View : Focus on Technology should be a big driver for India's GDP growth and productivity. Positive for overall IT sector which includes IT services and ER&D services companies. Within Geospatial, positive for MapmyIndia
- e-Passports with embedded chip and futuristic technology to be rolled out
- Our View: Most likely positive for TCS as Passport Seva Kendras are already outsourced to it and it also manages IT and non-IT infrastructure, end-to-end core passport application, networking, portal, data centre and disaster recovery
- An animation, visual effects, gaming, and comic (AVGC) promotion task force to be set-up to realize the potential of this sector

View

India has strong capabilities and resources in the field of animation and visual effects. Animation and VFX of several Hollywood movies and series are outsourced to India. Cultivating this space can result into this sector becoming a prominent part within Technology Services for India. Positive for Aptech, Prime Focus and Nazara Tech

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